

Customers are not liable for transactions they did not authorize, provided the fraud is reported within 60 days of the statement date.

A transaction is considered unauthorized if:

- The customer did not perform or approve the transaction
- No cardholder consent was given (online, in-person, or recurring billing)
- The merchant cannot provide proof of authentication (OTP, PIN, signature, device fingerprint)

Liability rules:

- \$0 liability for fraud reported within 48 hours
- Up to \$50 liability if reported within 2–60 days
- Full liability if reported after 60 days unless exceptional fraud circumstances are proven

All claims must undergo fraud scoring before approval.